Generating Unrelated Business Income

Nonprofits Engaging in For-Profit Activity

Jonathan Oxley, Ph.D.
Department of Public Management and Policy
Andrew Young School of Policy Studies
Georgia State University

PMAP 8213/3213 Week 15

Table of Contents

1. Defining Unrelated Business Income
2. Examining Nonprofits Earning Unrelated Business Income

Benefits Theory Goods Revisited

1. Private Goods
   - Market Goods
   - Redistributive Goods
   - Exchange Goods
2. Public Goods
3. Club Goods
4. Common Pool Resources

- The vast majority of goods earning unrelated business income for nonprofit organizations are *private, market goods*.

Defining Unrelated Business Income

- The Internal Revenue Service (IRS) defines unrelated business income as: "An activity that meets the following three requirements:
  1. A trade or business
  2. Regularly carried on
  3. Not substantially related to furthering the exempt purpose of the organization
- There are a wide array of modifications, exclusions, and exceptions to the definition as listed on the IRS's website.
- Unrelated business income is subject to taxes like any other organization, with a current corporate tax rate of 21%.
- Organizations earning more than $1,000 in unrelated business income must file a Form 990-T tax return

Examples of Related and Unrelated Income

- Sales in a nonprofit art museum gift shop:
  - Sales of reprints of the art on display in the museum:
  - Sales of a bag of collectable, polished rocks:
- Fundraising for an organization:
  - Girl Scout cookie sales:
  - A parent-teacher association Christmas tree sale:

History of Unrelated Business Income

- The unrelated business income tax was created by Congress in 1950
- Unrelated business income taxation was largely created due to public outcry:
  - Corporate income tax dates back to 1913, and nonprofit organizations were allowed to be exempt from that tax
  - In the late 1940s, a variety of for-profit businesses were acquired by nonprofit organizations, most famously NYU purchasing Mueller pasta
  - The outcry mainly focused on nonprofits avoiding taxation as "unfair treatment"
- From inception, unrelated business income tax has charged nonprofit organizations the corporate tax rate for unrelated activities

Unrelated Business Income and Taxable Subsidiaries

- Nonprofit organizations engaging in unrelated activities have two organizational options:
  1. Earn unrelated business income as part of the organization, pay UBIT and file a Form 990-T
  2. Create a taxable subsidiary organization (effectively a nonprofit owning a for-profit) to perform the unrelated activities and have that organization pay corporate taxes
- Donors are largely indifferent if organizations earn incomes from taxable subsidiaries or unrelated activities (Herman and Rendina, 2001)
- The 2006 Pension Protection Act changed treatment of the Form 990-T, requiring it to be made available for public inspection
- The same treatment is not required for subsidiary tax filings

Organizations Earning UBI Created New Subsidiaries after PPA

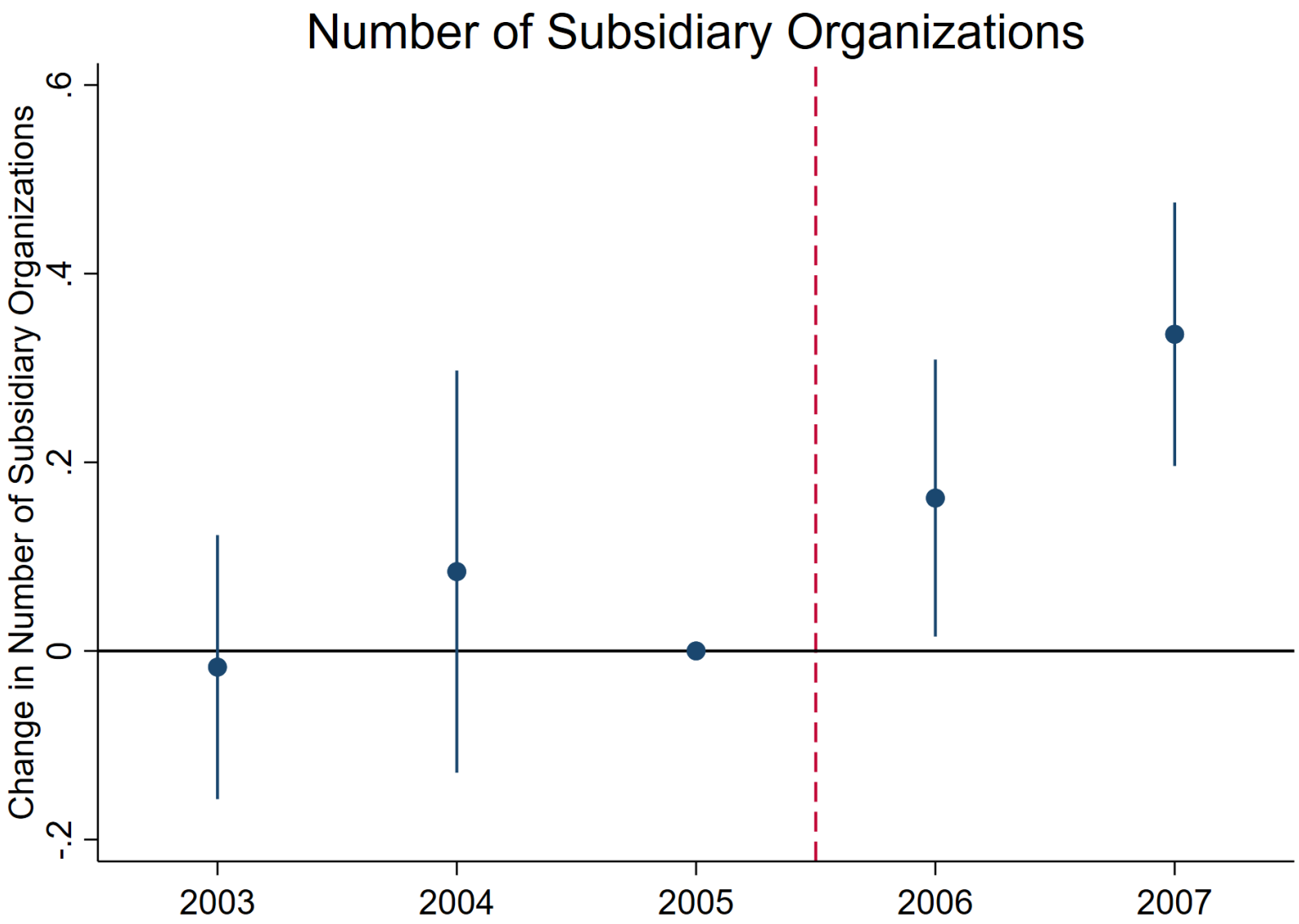


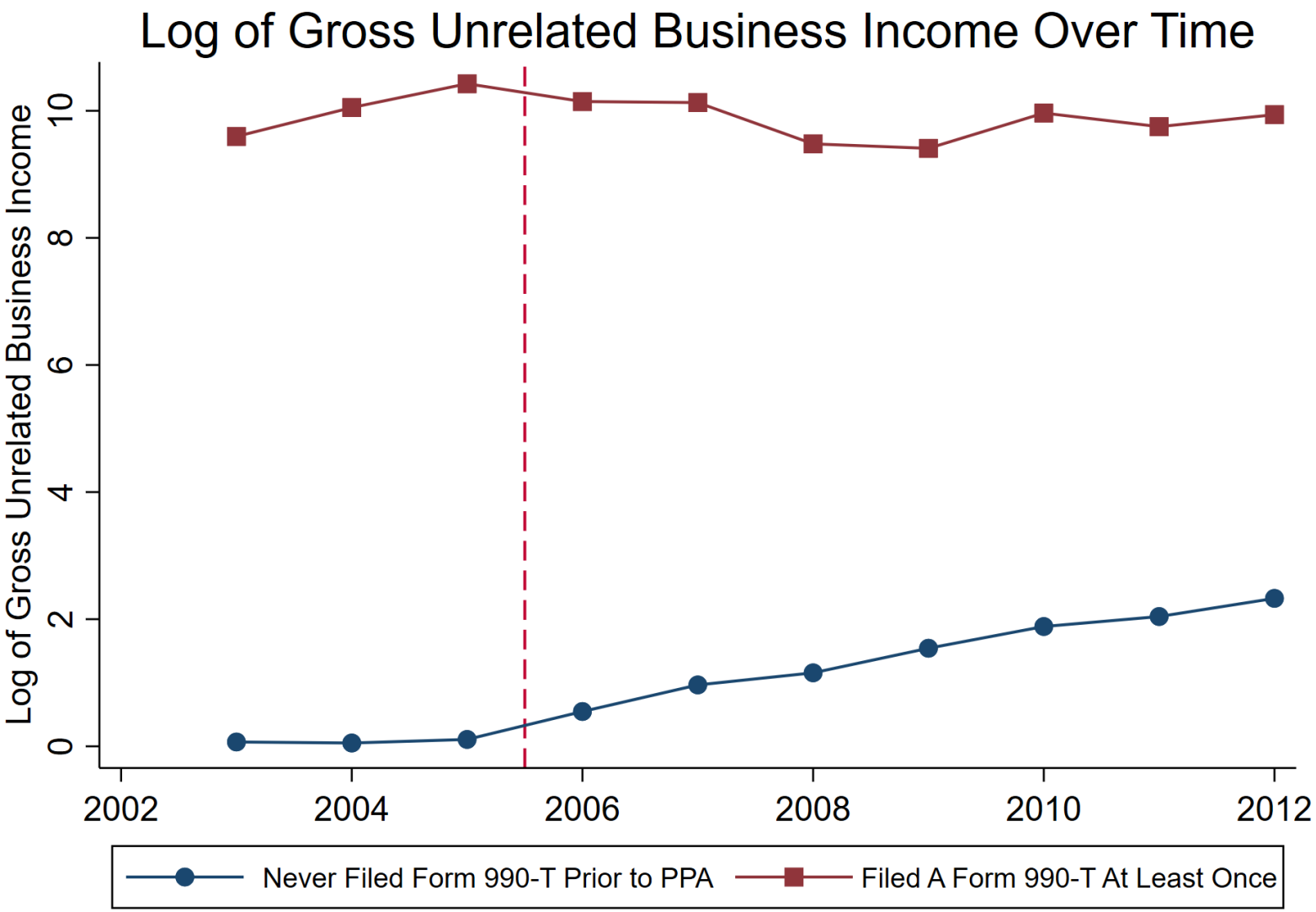
Table of Contents

1. Defining Unrelated Business Income
2. Examining Nonprofits Earning Unrelated Business Income

Unrelated Business Income Earners Prior to the Pension Protection Act

- In the 1990s, Unrelated Business Income earners had some key characteristics (Hines 1999):
- The organizations were larger, having a higher number of assets
- The organizations generally were also in poor financial position with:
  - High program-related expenditures
  - Low receipts of contributions
  - Low receipts of government grants
- Organizations with a high rate of sale of program related inventories did not have similar characteristics
- The combined lead Hines (1999) to theorize that unrelated business income was seen as a financial "last resort" and that nonprofits largely tried to avoid unrelated business income generating activities

Pension Protection Act Impact on Unrelated Business Income Earnings



Shifting Landscape Surrounding Unrelated Business Income

- Following the passage of the Pension Protection Act, the composition of nonprofits earning unrelated business income changed drastically
- The number of organizations previously earning unrelated business income decreased by 7.25% in 2012 compared to the number of organizations filing in 2006
- The number of organizations who were not earning unrelated business income before the PPA increased by 357.01% from 2006 to 2012
  1. Greater transparency with Form 990-T disclosure
  2. Greater emphasis on revenue diversification for nonprofits, particularly following the Great Recession
  3. Decreased public scrutiny on earnings from unrelated purposes and taxable subsidiaries
  4. Donors demonstrating a lack of concern for unrelated activities or subsidiary income